

Warsaw, January 25, 2023

Decision

DKE.561.35.2022

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on S. Sp. z o.o. based in R. at ul. (...), the President of the Personal Data Protection Office, stating that S. Sp. z o.o. based in R. at ul. (...) violated the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to information necessary for the performance of his tasks, imposes on S. Sp. z o.o. based in R. at ul. (...) an administrative monetary penalty in the amount of 18,279 PLN (in words: eighteen thousand two hundred seventy-nine zlotys).

Justification

Factual Background

On July 28, 2022, a complaint was submitted to the Personal Data Protection Office by Mr. M. K., residing in G. at ul. (...) (hereinafter referred to as the "Complainant") regarding irregularities in the processing of his personal data by S. Sp. z o.o. based in R. at ul. (...) (hereinafter referred to as the "Company" or "Administrator"), consisting of the disclosure of his personal data (first name, last name, address, salary amount, job position, bank account number) contained in the template of the employment contract for a trial period concluded with the Complainant on January 27, 2022 – to unauthorized persons.

In order to address the aforementioned complaint, the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") initiated administrative proceedings under reference number DS.523.4329.2022, within which – based on Article 58 section 1 letters a) and e) of Regulation 2016/679 – by letter dated August 10, 2022, he summoned the Administrator to respond to the content of the complaint and to provide explanations regarding the matter, in particular to answer questions on issues significant to the case, as well as to present any evidence confirming the submitted explanations. This letter was received by the addressee on August 16, 2022, but remained unanswered by the Company.

Consequently, the President of UODO, by letter dated October 3, 2022, again requested the Company to provide the aforementioned information. This summons was received by the addressee on October 6, 2022, and also remained without any response from the Company. In the letter from the President of UODO dated October 3, 2022, it was stated that failure to respond to the summons may result, due to the lack of cooperation with the President of UODO in the performance of his duties and the failure to provide access to personal data and information necessary for the President of UODO to perform his tasks – in the imposition on the Company – in accordance with Article 83 section 4 letter a) or Article 83 section 5 letter e) – of an administrative monetary penalty of up to 20,000,000 EUR.

The above circumstances of the factual background were established by the President of UODO based on the entirety of the official correspondence that the President of UODO conducted with the

Company, which correspondence is gathered in the case files under reference number DS.523.4329.2022. This correspondence documents all attempts by the President of UODO to gain access to information necessary for the performance of his tasks, that is, in this case – to address the matter under reference number DS.523.4329.2022, and on the other hand reflects the lack of response from the Company to the requests of the President of UODO.

From the information posted on the website (...), it follows that the Company provides services, among others, in the field of marketing and insurance sales. However, according to the entry in the KRS, its predominant activity is the activity of central offices (head offices) and holdings, excluding financial holdings (PKD code 7010Z). The subject of the Company's remaining activities includes, among others, other activities supporting financial services excluding insurance and pension funds (PKD code 6619Z), wholesale trade excluding the trade in motor vehicles, retail trade excluding the retail trade in motor vehicles, financial service activities excluding insurance and pension funds (PKD 6499Z), activities related to real estate management, activities related to employment.

****Proceedings****

In connection with the failure of the Company to provide the information necessary to resolve the case with reference number DS.523.4329.2022, the President of the Personal Data Protection Office (UODO) initiated, ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – these administrative proceedings (with reference number DKE.561.35.2022) regarding the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679.

The Company was informed of the initiation of the proceedings by a letter dated November 7, 2022, delivered to it on November 10, 2022. By this letter, the Company was summoned – for the purpose of determining the basis for the penalty, based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o." – to present its financial statement or another document showing the amount of turnover and financial results achieved by it in 2021.

The Company was informed about the nature of the alleged violation, was also advised of the sanctions that could be imposed for this violation, as well as of the still existing possibility of providing explanations, which the President of UODO requested from it in the proceedings with reference number DS.523.4329.2022, which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Company was informed of the possibility to express its opinion – before the issuance of the administrative decision, regarding the collected evidence and materials as well as the submitted requests. The Company did not take any action in response to the information about the initiation of these proceedings.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO examines, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679).

To enable the realization of the tasks thus defined, the President of UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the conducted proceedings, including the power to order the controller and the processor to provide any information necessary to carry out its tasks (Article 58(1)(a)) and the power to obtain access from the controller and the processor to all personal data and information necessary to carry out its tasks (Article 58(1)(e)).

A violation of the provisions of Regulation 2016/679 consisting of the failure of the controller or the processor to provide access to data and information resulting in a violation of the powers of the authority specified in Article 58(1) is subject – according to Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative monetary penalty of up to EUR 20,000,000.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – according to Article 83(4)(a) of Regulation 2016/679 – an administrative monetary penalty of up to EUR 10,000,000.

According to Article 83(3) of Regulation 2016/679, in the event of a violation by the controller or the processor of several provisions of this regulation within the same or related processing operations, the total amount of the administrative monetary penalty may not exceed the amount of the penalty for the most serious violation.

In assessing whether, and if so, to what extent an administrative monetary penalty should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for penalty assessment) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the violation, taking into account the nature, scope, or purpose of the processing, the number of data subjects affected, and the extent of the damage suffered by them,
 - b) the intentional or negligent character of the violation,
 - c) the actions taken by the controller or the processor to mitigate the damage suffered by the data subjects,
 - d) the degree of responsibility of the controller or the processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32,
 - e) any relevant previous violations by the controller or the processor,
 - f) the degree of cooperation with the supervisory authority to remedy the violation and mitigate its possible negative effects,
 - g) the categories of personal data affected by the violation,
 - h) the manner in which the supervisory authority became aware of the violation, in particular, whether and to what extent the controller or the processor reported the violation,
 - i) if the controller or the processor in question has been...
previously applied measures in the same case, referred to in Article 58(2) - compliance with these measures,
 - j) the application of approved codes of conduct pursuant to Article 40 or approved certification mechanisms pursuant to Article 42,
 - k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits obtained directly or indirectly in connection with the violation or losses avoided.
- Furthermore, the supervisory authority - in accordance with Article 83(1) of Regulation 2016/679 - ensures that the administrative fines imposed are effective, proportionate, and deterrent in each individual case (principles of penalty imposition).

For the purpose of determining the basis for the administrative fine, the entity subject to the administrative fine proceedings is obliged, at the request of the President of the UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine that basis (Article 101a(1) of the Act on the Protection of Personal Data).

In the event that the entity subject to the penalty fails to provide this data, the President of the UODO determines the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Act on the Protection of Personal Data).

According to the provisions of Article 103 of the Act on the Protection of Personal Data, the equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year - according to the average euro exchange rate announced in the nearest exchange rate table after that date by the National Bank of Poland.

Legal Assessment

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is subject to the obligations referred to in

Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(4) and Article 83(5)(e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations - within the proceedings conducted by the President of the UODO - on controllers and processors.

Referring the above-mentioned provisions to the factual state of this case, it should be indicated that the Company is subject to the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679. The complaint of Mr. M. K. - from which it follows that he is an employee of the Company - and the evidence attached to it indicate the status of the Company as an employer and at the same time as a controller of the personal data of its employees.

In the proceedings with reference number DS.523.4329.2022, in order to obtain information necessary to consider the complaint and based on Article 58(1)(a) and (e) of Regulation 2016/679, the President of the UODO twice requested the Company to respond to the content of the complaint and to provide explanations by answering detailed questions regarding the case. Both letters were received by the Company, which allows for the assumption that the information about the ongoing proceedings before the President of the UODO involving it, including the demands directed to it by the authority, reached its awareness.

Despite this, the Administrator did not provide the explanations requested by the President of the UODO. This situation was not changed by the initiation of the current proceedings regarding the imposition of an administrative fine (reference number DKE.561.35.2022). The letter from the President of the UODO addressed to the Administrator dated November 7, 2022, informing about the initiation of this proceeding (see point 7 of the justification of this decision), also remained unanswered. In connection with the above, it should be stated that the Company - considering that as a controller of the personal data of its employees it is undoubtedly in possession of the information necessary to consider the complaint of Mr. M. K. - violated its obligation to provide all information needed by the President of the UODO to perform his tasks and the obligation to ensure the President of the UODO access to personal data and information necessary to perform his tasks - in this case, to substantively resolve the case with reference number DS.523.4329.2022. Such actions by the Company constitute a violation of Article 58(1)(a) and (e) of Regulation 2016/679.

The actions of the Company also exhaust the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes the obligation to present to the authority - at its request - all information held by the controller or processor related to the proceedings conducted by it. The consequence of the lack of access to the information that the President of the UODO requested from the Company is an obstacle to the objective, thorough, and comprehensive consideration of the case and also the unjustified prolongation of the duration of the proceedings initiated by the complaint of Mr. M. K., which in turn contradicts the fundamental principles governing administrative proceedings specified in Article 12(1) of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended) (hereinafter referred to as "k.p.a.") regarding the principles of thoroughness and speed of proceedings.

In light of the above, the President of the UODO states that

In this case, there are grounds justifying the imposition of an administrative monetary penalty on the Company – pursuant to Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679 – in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31) and in connection with the failure of the Company to provide access to personal data and information necessary for the President of the UODO to perform his tasks (Article 58(1)(a) and (e)), namely to resolve the case with reference number DS.523.4329.2022. At the same time, due to the determination of the Company's violation of two provisions of Regulation 2016/679 (Article 31 and Article 58(1)(a) and (e)), in accordance with the content of Article 83(3) of this legal act, the President of the UODO determined the amount of the imposed administrative monetary penalty not exceeding the amount of the penalty for the most serious of these violations. In the presented factual situation, the President of the UODO considered the most serious violation to be the failure of the Company to provide the President of the UODO with access to all personal data and information necessary for the performance of his tasks, i.e., the violation of Article 58(1)(a) and (e) of Regulation 2016/679, which is

subject to a penalty of up to EUR 20,000,000. The seriousness of this violation is evidenced by the fact that the lack of access to personal data and information requested by the President of the UODO from the Company not only hinders an objective, thorough, and comprehensive examination of the case but also results in excessive and unjustified prolongation of the proceedings.

****Grounds and Principles for the Assessment of Administrative Monetary Penalties****

In accordance with Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of grounds listed in points (a) to (k) of the aforementioned provision are taken into account (see point 13 of the justification of this decision). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO took into account – among them – the following circumstances that aggravate the assessment of the violation:

1. **Nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).**

The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of personal data, or more broadly – to the protection of privacy. An essential element of this system, the framework of which is defined by Regulation 2016/679, are the supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this area. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, controllers and processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to cooperate with supervisory authorities and the obligation to provide these authorities with access to information necessary for the realization of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, providing for a higher penalty for their violation under two provisions of Regulation 2016/679 – a penalty of up to EUR 20,000,000. The Company's conduct in this case, consisting of ignoring the requests received from the President of the UODO, resulting in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO, should therefore be regarded as undermining the data protection system, and for this reason, it has significant weight and a reprehensible character. The seriousness of the violation is further increased by the fact that the violation committed by the Company was not an incidental event. The Company's actions are continuous and prolonged. They have lasted since the expiration of the 7-day deadline set for providing explanations in the first request addressed by the President of the UODO to the Company in the proceedings with reference number DS.523.4329.2022, i.e., from August 24, 2022, until the date of this decision.

2. **Intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).**

In the opinion of the President of the UODO, the conduct of the Administrator in the case with reference number DS.523.4329.2022, consisting of a complete lack of cooperation in providing the authority with access to all information necessary for its resolution, is conscious and deliberate. There is no doubt that the requests of the President of the UODO reached the awareness of the Administrator (see points 2 and 3 of the justification of this decision). The lack of response to them must have been the result of a conscious decision by the Administrator aimed at hindering the President of the UODO in examining the complaint of Mr. M. K. It is worth noting that the information about the initiation of these proceedings (letter from the President of the UODO dated November 7, 2022) – in addition to the information about the violation committed by the Administrator and the threat of a sanction in the form of an administrative monetary penalty for this violation – also informed the Administrator about the still existing possibility of providing the information requested by the President of the UODO in the proceedings with reference number DS.523.4329.2022. Therefore, the Administrator had and has full awareness of the committed violation, as well as knowledge of how to end this state of violation (by providing the requested information to the President of the UODO). The Administrator did not do so even at the current stage of the case, which increases, in the opinion of the President of the UODO, the degree of intentionality of the Administrator's conduct and adversely

affects the assessment of the actions taken by him.

violations.

The degree of cooperation with the supervisory authority in order to remedy the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).

In the course of these proceedings regarding the imposition of an administrative monetary penalty on the Company (case no. DKE.561.35.2022), the Company did not engage in any cooperation with the President of the Personal Data Protection Office (UODO). In particular, the Company did not provide the information requested by the President of UODO in the proceedings with case no.

DS.523.4329.2022, which could have been considered as an action aimed at remedying the violation identified in this case or mitigating its effects. Such lack of cooperation with the President of UODO continues to prevent the President from conducting a prompt and thorough examination of the complaint of Mr. M. K. in the proceedings with case no. DS.523.4329.2022.

In the opinion of the President of UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 support the mitigation of the established – taking into account the aforementioned aggravating circumstances – amount of the penalty imposed by this decision.

Due to the specific nature of the violation (concerning the relationship between the controller and the supervisory authority, rather than with the data subjects), the following circumstances could not be taken into account by the President of UODO in this case:

1. The number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the violation (the Company's failure to provide the President of UODO access to necessary information) is not related to the breach of personal data of any individual, and consequently, no damages have occurred in relation to natural persons;
2. Actions taken by the controller or processor to minimize the damage suffered by the data subjects (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages have occurred in relation to natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
3. The degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
4. The categories of personal data affected by the violation (Article 83(2)(g) of Regulation 2016/679) due to the fact that the violation is not related to the breach of any personal data.

The remaining circumstances indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the violation identified in this case, were considered by the President of UODO to be neutral in his assessment, meaning they had neither an aggravating nor mitigating effect on the amount of the imposed administrative monetary penalty:

1. Any relevant previous violations by the controller or processor (Article 83(2)(e) of Regulation 2016/679); the President of UODO did not find any previous violations of data protection regulations committed by the Company, which is why there are no grounds to treat this circumstance as aggravating. And since such a state (compliance with data protection regulations) is a natural state resulting from the legal obligations imposed on the Company, it cannot have a mitigating effect on the assessment of the violation made by the President of UODO.
2. The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679); the information about the violation identified in this case was obtained by the President of UODO ex officio while analyzing the course of the ongoing proceedings before him with case no. DS.523.4329.2022. This is a natural way of obtaining information about this type of violation (that is, about the lack of cooperation with the authority and the failure to provide access to necessary information needed to examine the case) resulting from the competence of the President of UODO to assess the course of this proceeding and to evaluate what information is necessary for him to resolve the ongoing case. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account in favor of the Company since it did not participate in obtaining the information

about the violation by the President of UODO.

3. Compliance with previously applied measures in the same case, referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679); before issuing this decision, the President of UODO did not apply any of the measures mentioned in Article 58(2) of Regulation 2016/679 to the Company in the examined case, which is why the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of UODO, could have had an aggravating or mitigating effect on the assessment.

of the Personal Data Protection Office (UODO) to ensure compliance with the regulations. The imposition of an administrative fine is justified given the Company's previous conduct as a party in the proceedings DS.523.4329.2022.

The Company has not adopted approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679); the Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for controllers, as stipulated by the provisions of Regulation 2016/679, which means that the circumstance of their non-application cannot be construed against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection for processed personal data could be taken into account in favor of the Company.

Financial benefits obtained directly or indirectly in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679) have not been established by the President of UODO, who found that the Company, due to its failure to provide the requested information, did not gain any financial benefits or avoid such losses. Therefore, there are no grounds for treating this circumstance as burdensome for the Company. The establishment of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. Conversely, the absence of such benefits for the Company, as a natural state independent of the will and actions of the Company, is a circumstance that inherently cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which instructs the supervisory authority to pay due attention to the benefits "obtained" – those that occurred on the part of the entity committing the violation.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679).

The President of UODO, comprehensively considering the case, did not note any circumstances other than those described above that could affect the assessment of the violation and the amount of the imposed administrative monetary penalty. According to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative monetary penalties, reference should be made to the views of the doctrine of law on the protection of personal data. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of inconvenience determined by taking into account the circumstances of the specific case. A sanction is deterrent if it realizes the considerations of individual and general prevention, in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Data Protection Regulation. Personal Data Protection Act. Selected sectoral provisions. Commentary). The principles of imposing administrative monetary penalties as defined require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case where it is a business, Regulation 2016/679 allows for the acceptance of the total annual global turnover from the previous financial year (Article 83(4) and (5) of Regulation 2016/679).

Supplementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of UODO establishes the basis for calculating the administrative

monetary penalty based on estimates regarding the size of the entity, the specificity of the activity it conducts, or generally available financial data concerning the entity.

Reference to the economic potential of the penalized entity is necessary because, among other reasons, a penalty that is disproportionately low in relation to the financial capabilities of the violator (a penalty that is practically "invisible" to that entity) will not be effective and deterrent for that entity; a penalty that is too burdensome (a penalty whose payment threatens the existence of the entity) will not be a proportional penalty.

According to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In the opinion of the President of UODO, the penalty imposed on the Company in these proceedings meets these criteria. It will discipline the Company to cooperate properly with the President of UODO, both in the further course of the proceedings with the reference number DS.523.4329.2022 and in any other proceedings conducted in the future involving the Company before the President of UODO.

The penalty imposed by this decision is, in the opinion of the President of UODO, proportional to the seriousness of the established violation and to the Company's ability to bear it without significant detriment to its operations. This penalty will also serve a deterrent function; it will be a clear signal to the Company, which is obliged under the provisions of Regulation 2016/679 to cooperate with the President of UODO, that neglecting the obligations related to cooperation with him (in particular, obstructing access to personal data and information necessary for the performance of his tasks) constitutes a serious violation and as such will be subject to financial sanctions. At this point, it should be noted that the imposition of an administrative monetary penalty on the Company is – given the Company's previous conduct as a party in the proceedings DS.523.4329.2022 – necessary; it is the only measure available to the President of UODO to ensure compliance with the regulations. UODO, which enables access to information necessary in the ongoing proceedings.

Due to the failure of the Company to provide the financial data for the year 2021 requested by the President of UODO, when determining the amount of the administrative monetary penalty in this case, the President of UODO took into account, based on Article 101a paragraph 2 of the Personal Data Protection Act, the estimated size of the Company as well as the specificity, scope, and scale of its activities.

Taking into consideration the provision of Article 103 of the Personal Data Protection Act, the President of UODO imposed on the Administrator – applying the average exchange rate of the euro from January 28, 2022 (where 1 EUR = 4.5697 PLN) – an administrative monetary penalty in the amount of 18,279 PLN (which is equivalent to 4,000 EUR).

Having the above in mind, the President of UODO ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended) (hereinafter "p.p.s.a."), the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 - 193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In the proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105 paragraph 1 of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative

Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP 0/0 Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105 paragraph 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2021, item 1540, as amended), from the day following the submission of the request.

****Print Article****

****Metadata****

Entity providing the information:

Department of Penalties and Enforcement

Information created by:

Jan Nowak

2023-01-25

Information entered by:

Mathias Proch

2023-07-21 13:46:32

Last modified by:

Iwona Jeleń

2023-07-27 10:23:47